



1.

Thirty years ago the computer market was dominated by one huge monopoly called IBM (International Business Machines). Today, most people have never even heard of IBM. Newer companies such as Microsoft, Apple and Google have grown rapidly to become very competitive giants.

Evaluate the view that competition policy is never necessary because, in the long run, market forces will ensure that monopolies cannot abuse their power and will not last.

[25 marks]

2.

'Although monopolies are generally regarded by economists as undesirable, legally backed monopolies created by IPRs can be justified as being in the public interest' (**The Global Context Extract C**, lines 12 –14).

Evaluate the case for stronger action by governments to protect the monopoly power of firms involved in UK creative industries.

[25 marks]

3.

'It is significant that some large UK retailers such as Tesco and Marks and Spencer have a presence on the Continent... there are also some possible advantages of the SEM for smaller retailers' (**The European Union Context Extract D**, lines 34–35 and 41–42).

Using the data and your economic knowledge, assess the **costs** and **benefits** to British retailers **and** consumers of being part of a single market across the EU.

[25 marks]

4.

It is 'difficult to judge whether GM crops will boost productivity to feed the world and create social benefits or cause market failure through monopoly, environmental damage and adverse side effects on human health' (**The Global Context Extract B**, line 38–40).

Using the data and your economic knowledge, evaluate the view that the UK Government should support the production and use of GM crops.

[25 marks]

5.

Explain what is meant by 'diminishing returns' (**The Global Context Extract B**, line 2–3) **and** analyse why the introduction of GM crops could help farmers to increase their productivity in the long run.

[9 marks]

Extract B: Diminishing returns and food production

The British political economist Thomas Malthus (1766-1834) argued that because cultivatable land is in fixed supply, food production is subject to the law of diminishing returns and cannot keep pace with population growth. Technological improvements and international trade have meant that his gloomy predictions of famine and drought have largely been avoided, certainly for industrialised countries like the UK. Now that the world has more than 6 billion people, predicted to rise to 9 billion by 2050, there is a worry once again that diminishing returns will set in. Some estimates suggest that the world's undernourished could soon number over a billion people.	1 5
Genetically modified (GM) crops are seen by some experts as providing a way around the problem of diminishing returns. Supporters of GM technology claim that by developing crops that are resistant to disease, drought, salty soil and flooding, more land can be cultivated and existing farmland used more efficiently. The result is improved agricultural productivity. They also claim that private goods like rice and tomatoes can be turned into merit goods by being modified to contain vaccines or cures for diseases.	10
Anti-GM groups have mounted high profile campaigns against what the media have called 'Frankenstein foods'. In response, the British frozen food chain Iceland decided that there was a competitive advantage in announcing that all of its products would aim to be GM-free and the major British supermarkets quickly followed. Meanwhile, the UK Government's official position is that it has an open mind, and that its priority is to protect human health and the environment while being 'pro-consumer choice'. In the USA, the 'choice' argument has been undermined by the view that foods containing GM products need not be labelled as such.	15 20
Can GM crops really guarantee 'food security'? Critics claim that a lack of spending power, not food supply, is the real problem, with poor people in failing economies often starving in front of full stores and granaries. They also claim that GM crops cause negative externalities. For instance, their pollen can contaminate the crops of nearby organic businesses. Also, most GM crops are developed for resistance to weed-killers and pesticides, and this encourages farmers to use more chemicals, killing wildlife and reducing biodiversity. Furthermore, there are fears that eating GM foods might have long-term risks to human health which have yet to be fully investigated.	25 30
Regulations in Europe are so strict that it costs a seed manufacturer at least ten times as much to develop a new GM crop than a conventional crop. This means that only big companies can afford to develop them. Globally, the American company Monsanto controls the seeds on over 80 per cent of the world area of planted GM crops. Furthermore, Monsanto bans 'seed saving'. It uses patent laws to sue farmers if they save seeds for planting, rather than buying new seeds every year.	35
Almost every single piece of evidence on each side of the debate is contested, making it difficult to judge whether GM crops will boost productivity to feed the world and create social benefits or cause market failure through monopoly, environmental damage and adverse side-effects on human health.	40

Source: news reports, 2008 / 9



7.

'The law of diminishing returns is an economic principle which will definitely operate at some point, whereas economies of scale are less certain.'

Evaluate the view that firms will always try to minimise their costs and maximise their revenues.

[25 marks]

8.

'The law of diminishing returns is an economic principle which will definitely operate at some point, whereas economies of scale are less certain.'

Explain how a firm's costs of production may be affected by diminishing returns in the short run and economies of scale in the long run.

[15 marks]

9.

'The European Union (EU) wishes to improve the mobility and flexibility of labour' (**The European Union Context Extract F**, line 6).

Evaluate the possible **costs** and **benefits** for the UK economy of the free movement of labour within the EU.

[25 marks]

10.

Many of the world's large companies, such as *Microsoft* and *Ryanair*, started out as small businesses.

Explain the different ways in which a firm can grow in size.

[15 marks]

11.

In recent years, the EU has decided that the agricultural sector must become 'more responsive to market forces' (**The European Union Context Extract F**, line 12).

Using the data and your economic knowledge, discuss whether UK farming would benefit from greater responsiveness to market forces and less intervention by the UK government and the EU.

[25 marks]

12.

Explain the term 'Barriers to entry' (**The Global Context Extract B**, line 20) and analyse **two** ways in which technological change can affect entry into creative industries such as recorded music.

[9 marks]

13.

THE GLOBAL CONTEXT

Extract C: The creative industries and intellectual property

The UK government regards the 'creative industries' as an important source of income and employment. This sector is defined as comprising 13 sub-sectors, including architecture, films, music, fashion, television and video games. The UK creative industries contribute nearly 8 % of annual Gross Domestic Product (roughly half the contribution of the manufacturing sector) and produce exports worth £10 bn (almost equal to oil industry exports). The creative sector is expected to grow at twice the rate of the rest of the economy between now and 2013.

The main distinguishing feature of a 'creative' industry is that it depends on intellectual property rights (IPRs). These include copyrights (e.g. for music, literature, art works and films), trademarks, patents, industrial design rights and trade secrets. In effect, IPRs enable creative people and businesses to enjoy a degree of monopoly power. This is strongest when IPRs are enforced throughout the world. Although monopolies are generally regarded by economists as undesirable, legally-backed monopolies created by IPRs can be justified as being in the public interest.

Source: news reports, 2008–9

14.

'A pharmaceutical company can expect to make supernormal profits on a new drug or medicine in the short run.'

Explain why some firms might be able to **continue** to make supernormal profits in the **long run**.

[15 marks]

15. THE GLOBAL CONTEXT

Extract B: Technological change and the recorded music industry

Technological change presents both threats and opportunities to the global music industry. Around the world in 2008, 1.4 billion song tracks were legally downloaded to computers and paid for over the internet. However, an estimated 40 billion tracks (over 95% of music downloads) were obtained illegally. From the point of view of people sharing and using these tracks, new technology has changed recorded music into a form of public good. To stay in business, record companies and retailers have to find ways of selling recorded music to people who do not want to pay because people expect everything on the internet to be free. Some politicians and industry representatives want to use the force of law to punish the people who download illegally, while some businesses, such as satellite broadcasters and computer games developers, appear to be using technology successfully in order to sell to paying customers and exclude 'free riders'. For example, *BSkyB* subscribers are sent a decoder card so they can access programmes. 1

While *iTunes* and others have had great success in selling downloads, CD sales are still important for on-line retailers like *Amazon*, traditional high street music stores such as *HMV* and *Virgin* and the large supermarkets. These sellers of music in physical format are taking on the new digital competition with aggressive pricing, persuasive TV advertising and differentiated products such as special edition CD box sets. 5

Many new and established artists have used the internet to their advantage. It is possible to record a song in a bedroom, place a clip on *YouTube* and go on to sell to a global market. Barriers to entry have changed and the music industry as a whole has to be creative to compete in new ways that build upon legal downloading and the on-line selling of CDs. 10

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Source: news reports, 2008–9

16. 'Bigger is better.... Small is beautiful.... Size does not matter.'

Discuss whether large firms in the UK today are necessarily more efficient than small firms.

[25 marks]

17. 'Bigger is better.... Small is beautiful.... Size does not matter.'

Explain how a firm can experience diminishing returns in the short run **and** economies of scale in the long run.

[15 marks]

18. Explain why competition might lead to **both** productive efficiency **and** allocative efficiency.

[15 marks]

19. Explain what is meant by 'economies of scale' (**The European Union Context Extract D**, line 3) **and** analyse how **two** types of economy of scale could affect the fishing industry.

[9 marks]



20.

The UK government is considering building a high-speed train line (known as HS2) linking London with cities in the north. It is claimed that HS2 will enable significant reductions in journey times for passengers and goods.

Explain the likely short-run and long-run effects of investment in infrastructure projects such as HS2 on both labour **and** product markets in the UK.

[15 marks]



THE EUROPEAN UNION CONTEXT

Extract D: Changing markets and EU policy: the case of Grimsby

Deep sea fishermen have been called the last of the hunter-gatherers. They chase a scarce natural resource which is not farmed or domesticated. While there is pressure to achieve economies of scale, large super-efficient factory ships are in danger of eradicating the very raw material upon which they rely. The market for fish operates efficiently in many ways, with buyers and sellers who have good knowledge of the product and of prices. However, at the European Union level, a great deal of time and money is spent on trying to reduce failures in this market for fish.

Marine scientists have said that, without government intervention, fish stocks will collapse completely by 2050 and that intervention is necessary to prevent various market failures. Sea fish are not a public good, although they tend to be treated as one largely due to a lack of property rights. For the past 30 years, the national fisheries of EU member states within Community waters have been governed by the Common Fisheries Policy (CFP). The CFP includes measures which are aimed at conservation by regulating the amount of fish taken from the sea, controlling the fishing methods that are used, and policies for matching supply and demand. Policies include quotas and restrictions on the times that boats can spend at sea. Trawler captains usually operate as small business entrepreneurs, often with expensive loans, and have costs to pay even when a boat is laid up in harbour. New boats cost about £25 million and EU licences can insist that, when taken out of service, the boats are destroyed. Ultimately, these boats have to be efficient enough to catch sufficient fish to earn a profit during the equivalent of only two months at sea each year.

The CFP has been widely criticised. For example, critics claim that quotas are wasteful since, if too many fish are caught, perfectly edible fish have to be dumped at sea rather than brought ashore. On the other hand, supporters of the CFP would argue that it gives hope of avoiding the collapse of stocks or even the complete extinction of some species.

In the 1950s, deep sea fishing was a multi-million pound business and Grimsby in North Lincolnshire was the largest fishing port in the world. Generations of families found employment in fishing and its related industries, such as food manufacture. The UK's first frozen 'fish finger' was produced in Grimsby in 1955. Demand in product markets leads directly to a derived demand in labour markets and the CFP has had a massive impact on towns such as Grimsby.

Nationally, fisheries represent well under one per cent of the UK economy. However, their effects on local and regional labour markets are much greater than this figure would suggest. Workers in the fishing industry tend to be immobile occupationally, in terms of their experience and skills, and geographically, in terms of where they are prepared to live and work.

In 1964, 22 000 fishermen were employed in the UK. This fell slowly to 21 000 in 1994 and then more rapidly to 12 000 by 2009. While fishing has been in decline for many years, Grimsby retains several major companies which produce some of the best known brands of fish and other frozen food products in the UK. Also, Grimsby still has the largest fish market in the UK, although most of what is sold is now transported to Grimsby by road from other ports or imported in container ships. New industries such as light engineering, chemicals and plastics have become important employers. Grimsby, like many other towns, relies heavily on retailing as a source of employment, together with tourism in the nearby resort of Cleethorpes.

Sources: news reports and industry information, 2010

**22.****THE EUROPEAN UNION CONTEXT****Extract F: The EU milk market**

Over recent decades, the governments of most industrialised countries have intervened in their agricultural markets to offer support through subsidies and other measures. In Europe, agriculture employs less than 5% of the workforce, while agricultural intervention has traditionally taken about 50% of the EU budget. 1

Aimed at limiting state spending on the dairy sector, controlling milk production, and stabilising both milk prices and producer incomes, the EU introduced a milk quota system in 1984 as part of the Common Agricultural Policy (CAP). Milk quotas place a limit on the amount of milk that a farmer can sell every year without paying a 'levy' or penalty to the EU. The CAP has forced dairy farmers to work below capacity and even to dump milk, damaging the EU's reputation for economic efficiency. 5 10

The EU plans to end milk quotas in 2015 and wants agriculture to be less influenced by government intervention and more responsive to market forces. As quotas are removed, farms might be expected to become fewer, larger and more intensive. In Spain, for example, the industry has been allowed three times as much milk output since 1993, while the number of dairy farms has fallen drastically and productivity has risen. Meanwhile, like the UK government, the Spanish government has intervened to try to negotiate new pricing contracts between farmers, food processors and retailers. There is always a risk that government intervention in such negotiations in any market can adversely affect efficiency. 15

Sources: news reports and government information, 2012

23.

Small, independent coffee shops face competition from large multinational companies with well-promoted brands. In the High Street of a major British city, one such independent business advertises in the following way:

'Cappuccino or Pot of Tea: £1.19 before 12 noon; £1.39 during lunch time (12 – 2.30 pm); and only 99p after 2.30 pm.'

Economists sometimes analyse small and large businesses through a 'structure, conduct, performance model' and consider such issues as a 'divorce' of ownership from control.

Discuss ways in which the size of firms and the structure of the coffee-shop market might affect the conduct **and** performance of the firms within it.

[25 marks]

24.

Thirty years ago the computer market was dominated by one huge monopoly called IBM (International Business Machines). Today, most people have never even heard of IBM. Newer companies such as Microsoft, Apple and Google have grown rapidly to become very competitive giants.

Explain the main sources of monopoly power.

[15 marks]



25.

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‘Cappuccino or Pot of Tea: £1.19 before 12 noon; £1.39 during lunch time (12 – 2.30 pm); and only 99p after 2.30 pm.’

Explain how such a pricing strategy is influenced by price elasticities of demand, revenues and costs.

[15 marks]

